

Homework -1

D'Leon's Ratio Analysis

Submitted by
MD SHOWRAV ZAMAN
Student ID: 1000055235

BUS526 -Section 2
Submission Date: 16th March 2026

1. Short-Term Solvency Ratios

Ratio	Formula	Calculation	Result
Current Ratio	Current Assets / Current Liabilities	\$2,680,112 / 1,144,800\$	2.34
Quick Ratio	(Current Assets - Inventory) / Current Liabilities	\$(2,680,112 - 1,716,480) / 1,144,800\$	0.84

2. Long-Term Solvency Ratios

Ratio	Formula	Calculation	Result
Total Debt Ratio	$(\text{Total Assets} - \text{Total Equity}) / \text{Total Assets}$	$\$(3,497,152 - 1,952,352) / 3,497,152\$$	0.44
Debt-Equity Ratio	$\text{Total Debt} / \text{Total Equity}$	$\$(3,497,152 - 1,952,352) / 1,952,352\$$	0.79
Interest Coverage	$\text{EBIT} / \text{Interest Expense}$	$\$492,648 / 70,008\$$	7.04
Cash Coverage	$(\text{EBIT} + \text{Deprec.}) / \text{Interest}$	$\$(492,648 + 116,960) / 70,008\$$	8.71

3. Turnover (Asset Management) Ratios

Ratio	Formula	Calculation	Result
Inventory Turnover	COGS / Inventory	\$5,875,992 / 1,716,480\$	3.42x
Days' Sales in Inv.	365 / Inventory Turnover	\$365 / 3.42\$	106.73 Days
Receivables Turnover	Sales / Accounts Receivable	\$7,035,600 / 878,000\$	8.01x
Days' Sales in Rec.	365 / Receivables Turnover	\$365 / 8.01\$	45.57 Days
Payables Turnover	COGS / Accounts Payable	\$5,875,992 / 436,800\$	13.45x
Total Asset Turnover	Net Sales / Total Assets	\$7,035,600 / 3,497,152\$	2.01x

4. Profitability Ratios

Ratio	Formula	Calculation	Result
Net Profit Margin	Net Income / Sales (Revenue)	\$253,584 / 7,035,600\$	3.60%
Return on Assets (ROA)	Net Income / Total Assets	\$253,584 / 3,497,152\$	7.25%
Return on Equity (ROE)	Net Income / Total Equity	\$253,584 / 1,952,352\$	12.99%

5. Market Value Ratios

Ratio	Formula	Calculation	Result
Price-Earnings (P/E)	Price per Share / EPS	\$12.17 / 1.014\$	12.00x